scheme would receive, for the remaining years in service, his full pay, house rent allowance and medical benefits. The compensation may have looked too burdensome for it to be of benefit to the company, but it was a resounding success on two counts. First, it was in consonance with the policy of the group of not sacrificing the interests of the workers for companies to make profits. Secondly, while safeguarding the interests of the workers, it saved the company hundreds of crores by it not having to bear the burden of future increase in remuneration and corresponding benefits to the workers not needed by the company, says Muthuraman. In a decade, the workforce was reduced by nearly two-fifths to 47,000 and the 'lower labour costs combined with over $1 billion of new investment turned Tata Steel into a far more efficient, globally competitive firm', opined the business journal *Fortune*.

Modernization

Modernization was the second pillar of Ratan's strategy for TISCO. To fast-track this, he 'challenged the management' to think strategically and strove for the adoption of the most modern technology. As Irani said, Ratan pushed the 'technology' drive and gave it the 'leadership'. His refrain was plan and think big and he would find the money for it, recalls Muthuraman.

Speaking to a business magazine, Ratan said that it was necessary to 'modernise—not to expand necessarily but to modernise' the facilities. As a part of this goal, he focused on 'flat products', which he 'saw as the growth area in steel'. It would 'mainly serve the automotive, packaging and consumer durable industries', which were 'expected to see substantial growth in the coming years'.

Ratan's focus on quality versus quantity was not without its naysayers. He was questioned at various stages on his goals to make TISCO a 'company that would be the best in its class' as opposed to it being a 'volume producer'. His reasoning was that 'growth in steel' was 'going to be difficult' and therefore emphasized that the company 'should consolidate' itself and 'improve [its] operations before [it] looked at growing'. However, it took some years for Ratan's emphasis on quality to resonate with the leaders of the company.

With the completion of the Rs 2,600-crore third phase of modernization in 1994, the company attained the capacity to produce '2.8 million tonnes